KEY TERMINOLOGY

ECONOMY

MODULE - 7

- GDP & GNP
- NDP & NNP
- Productivity
- Infant Mortality Rate
- Life Expectancy at Birth
- Morbidity
- Land Settlement
- Suez Canal
- Colonial Rule

KEY TERMINOLOGY IN ECONOMY

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GROSS DOMESTIC PRODUCT

GROSS DOMESTIC PRODUCT

- It is one of the many indicators of standard of living in a country.
- GDP is regardless of ownership
- Here final goods and services produced are taken
- Production is within the country's boundaries.

GROSS DOMESTIC PRODUCT

The total value of final goods and services produced within a country's borders in a year regardless of ownership.

1 PRIMARY

2 SECONDARY

3 TERTIARY

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KEY TERMINOLOGY IN ECONOMY

CONSUMPTION

+

INVESTMENT

+

GOVT. SPENDING

+

EXPORTS

-

IMPORTS

=

GDP

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KEY TERMINOLOGY IN ECONOMY

GROSS DOMESTIC PRODUCT

WHEAT	WHEAT FLOUR	BISCUITS
✗	✗	✓
Rs. 20	Rs. 30	Rs. 40

Final value of the goods and services is only taken, but not the value of intermediate goods, while calculating GDP of any nation.

GROSS NATIONAL PRODUCT

GROSS NATIONAL PRODUCT

- GNP = GDP + Income from the goods and services produced abroad by the nationals – income from the goods and services produced domestically by the foreign nationals.

GROSS NATIONAL PRODUCT

Total value of goods and services produced in a country + net income from abroad.

GNP = GDP + JAGUAR LAND ROVER - Coca-Cola

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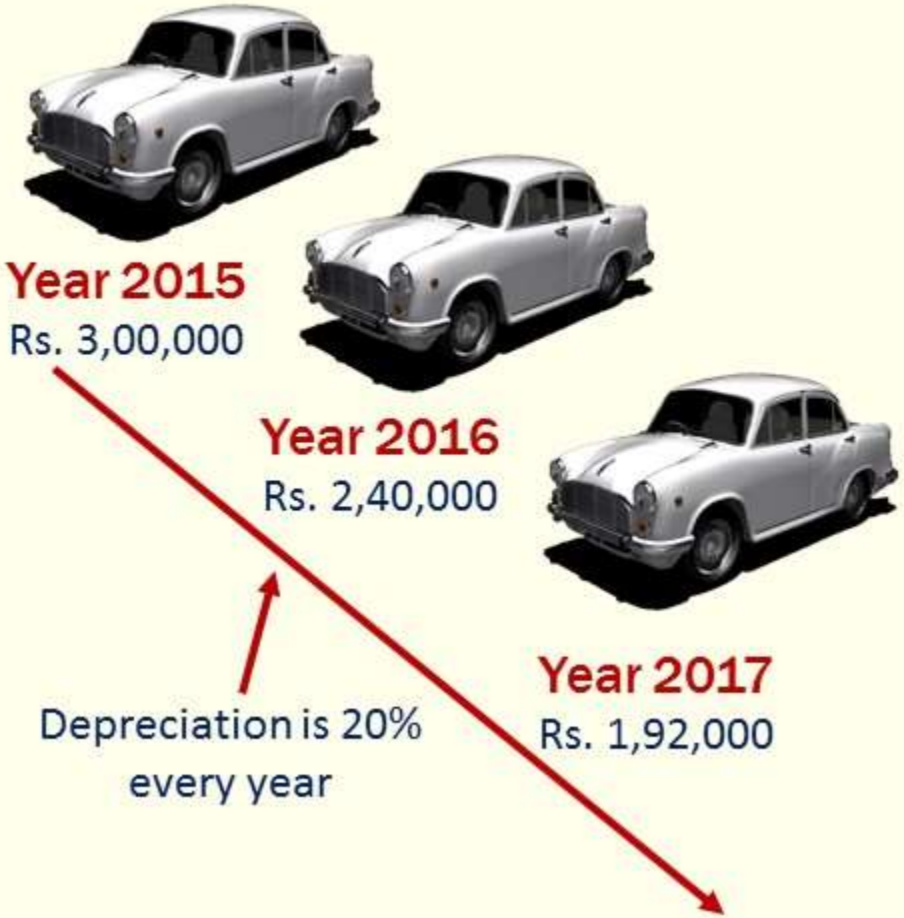
KEY TERMINOLOGY IN ECONOMY

NET DOMESTIC PRODUCT



DEPRECIATION

- The monetary value of an asset decreases over time due to use, wear and tear or obsolescence.
- Decrease in an asset's value, may be due to several reasons
- The depreciable elements can be
  - Machinery
  - Equipment
  - Currency

NET DOMESTIC PRODUCT

Net Domestic Product = GDP – Depreciation of Assets

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NET NATIONAL PRODUCT

Year 2015
Rs. 3,00,000

Year 2016
Rs. 2,40,000

Year 2017
Rs. 1,92,000

Depreciation is 20%
every year

NET NATIONAL PRODUCT

Net National Product = Gross National Product - Depreciation

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PRODUCTIVITY

PRODUCTIVITY

- For more productivity, input must be less and output should be more.
- Increase in the efficiency on the part of capital or labour leads to increase in productivity.

PRODUCTIVITY

Output per unit of input employed

TATA STEEL FACTORY

VIZAG STEEL FACTORY

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LIFE EXPECTANCY AT BIRTH

LIFE EXPECTANCY AT BIRTH

The number of years a newborn infant would live, if prevailing patterns of age specific mortality rates at the time of birth were to stay the same throughout the child's life.

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MORBIDITY

MORBIDITY

- It affects your work by making you temporarily disabled.
- Prolonged morbidity may lead to mortality
- Diarrhea, acute respiratory infections are two major causes for morbidity in our country.

MORBIDITY

It is the propensity of the people to fall ill

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KEY TERMINOLOGY IN ECONOMY

INFANT MORTALITY RATE

INFANT MORTALITY RATE

Probability of dying between birth and exactly before 1 year of age, expressed per 1,000 live births.

KEY TERMINOLOGY IN ECONOMY

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NEONATAL MORTALITY RATE (NMR)

Death of a child during the first 28 days of life per 1,000 live births.

UNDER-FIVE MORTALITY RATE

Probability of dying between birth and before attaining 5 years of age, expressed per 1,000 live births.

THE MATERNAL MORTALITY RATIO (MMR)

Death of a woman, while pregnant or within 42 days of termination of pregnancy. It is calculated per 1,00,000 live births

STILLBIRTH

A baby, who is born without any signs of life at or after 28 weeks of gestation.

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CAPITAL GOODS

Machinery in Textile Sector

Machinery in manufacturing sector

CAPITAL GOODS

- Used for producing other goods for end use
- Not for meeting immediate needs of the consumer
- It may be machine / equipment
- Their cost is normally very high

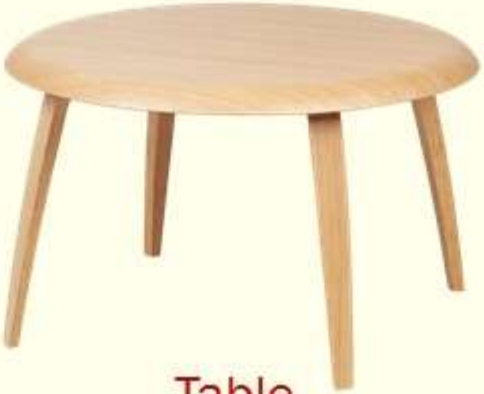
KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

Soap

Laptop

Mobile



Table

CONSUMER GOODS

- To satisfy human wants directly
- Goods, which meet the immediate need of the consumer
- Meant for consumption/use by the users

CONSUMER GOODS

- CONSUMER DURABLES
- CONSUMER NON-DURABLES

KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

CONSUMER DURABLES

Car

Washing Machine

Air Conditioner

CONSUMER DURABLES

- They do not have to be purchased quite frequently (typically at least 3 years)
- They last over a substantial period of time
- They do not wear out easily
- Can be rented
- Comes under the investment demand of goods

CONSUMER GOODS

→ CONSUMER DURABLES

→ CONSUMER NON-DURABLES

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KEY TERMINOLOGY IN ECONOMY

CONSUMER GOODS

CONSUMER NON - DURABLES

Cigarettes

Petrol

Stationery

Toothpaste

CONSUMER NON-DURABLES

- Also known as "soft goods"
- Life span of less than 3 years
- Immediately consumed
- Cannot be rented
- Comes under the consumption demand of goods

CONSUMER GOODS

- CONSUMER DURABLES
- CONSUMER NON-DURABLES

KEY TERMINOLOGY IN ECONOMY

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CONSUMER GOODS

CONSUMER NON - DURABLES

FMCG

Milk

Fruits

Toothpaste

Coca-Cola

FMCG

- Fast Moving Consumer Goods
- High volumes/ low margins
- Normally low price
- Frequent purchases
- Must for regular consumption
- Shorter period of life
- Sold quickly

LAND OR REVENUE SETTLEMENT

- British acquired territorial rights in different parts of India.
- Administration of these territories was on the basis of survey of land.
- It was decided in the interest of government in terms of revenues to be collected from each parcel of land in possession.

Ryotwari

This is a system of revenue settlement entered into by the government with individual tenants.

Mahalwari

This is the system of revenue settlement entered into by the government with a revenue village (Mahal).

Jamindari

System of permanent settlement, it is also named as Jamindari system.

KEY TERMINOLOGY IN ECONOMY

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ZAMINDARI SYSTEM

- Introduced by Lord Cornwallis in 1793
- Also known as Permanent Settlement System
- Was introduced in provinces of Bengal, Bihar, Orissa and Varanasi.
- Zamindars were recognized as owners of the lands
- They were given the rights to collect the rent from the peasants.

KEY TERMINOLOGY IN ECONOMY

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RYOTWARI SYSTEM

- Ownership rights were with peasants
- British Govt. directly collected taxes from peasants
- Introduced in Madras, Bombay, parts of Assam and Coorg Province of British India

KEY TERMINOLOGY IN ECONOMY

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MAHALWARI SYSTEM

- The term Mahal referred to the fiscal unit / revenue division into which the whole land was divided by Akbar
- Each Mahal consists of one or more revenue villages
- Ownership rests with peasants
- Village committee was responsible for collection of rent
- Introduced in Central Province, NWF, Agra, Punjab, Gangetic Valley etc.

In Mahalwari system, all the properties of a Mahal were jointly and severally responsible

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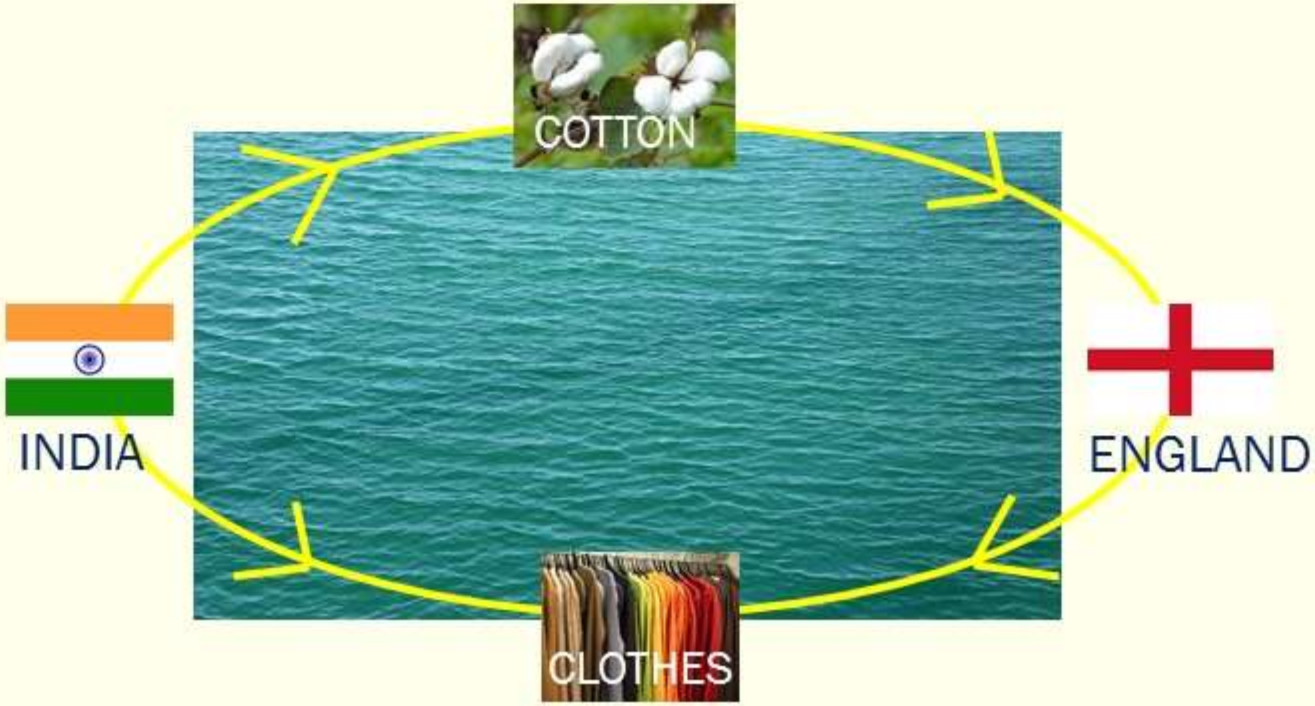
SUEZ CANAL

SUEZ CANAL

- It is an artificial waterway running from north to south across the isthmus of Suez in northeastern Egypt.
- It connects the Mediterranean Sea with the gulf of Suez, which is an arm of the Red Sea.

COLONIAL RULE



COLONIAL RULE

- This indicates the country is a colony of a ruling foreign country.
- The economy of such country is regulated and controlled by the foreign country.

KEY TERMINOLOGY IN ECONOMY

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